

BUSINESS PLAN

SECTION A: COMPANY INFORMATION AND OVERVIEW		
A1	Company Name	Serious Shea SARL
A2	Company Registration Number	BFOUA2018B3189
A3	Country of Registration	Burkina Faso
A4	Address of Headquarters	Burkina Faso, Ouagadougou, Secteur 29, 01 BP 6433 Ouagadougou 01 – Lot: 24 Section: XT Parcelle: 03
A5	Name of Contact Persons	Mme Felicite Yameogo & Mme Nelly Kwende, M. William Kwende Director
A6	Title of Contact Persons	Co-Manager
A7	Phone Number	+971563065082 / +226 60 12 59 88
A8	Mail Address	md@golden-organics.com / nkwende@gmail.com
A9	Company Web Address	http://seriousshea.com/
A10	Year of Formation	2018

A11	Name of Shareholder	% of Shares	Gender	Age
	Women's Shea Union (Felicite Yameogo)	20%	Female	50+
	Nelly Kwende (Golden Organics/AgriTech)	45%	Female	50+
	Jon White - ImpactAgri (Holdings) Ltd.	35%	Male	50+
	Note: Serious Shea also commits to a min. 10% profit share with all participating women's groups, which will be provided to a women's groups community fund. The community fund will drive social initiatives such as schools, health clinics, and programs on financial management.			

A12	Commentary on Past Financial Performance
	While the Serious Shea partners (AgriTech, Burkina Golden oils, New Karikis, and ImpactAgri) have been active in Burkina Faso (and across West Africa) for many years, Serious Shea itself is a joint venture to regroup the founder's activities in the Shea value chain, and was incorporated in 2018; therefore, the figures for these years are not available. Additional information is available on the activities of founders in the Shea sector. For example, Felicite Yameogo, Director of Serious Shea, is recognized as Lady Shea across Burkina Faso for her inspiring work with women's groups. She is the women's group representative to the European Commission, and trains, facilitates and supports 6,000s of women shea butter producers in Burkina Faso each year. Similarly, AgriTech has organized the collection of shea nuts for the major international shea companies in Europe and Asia, processed and exported shea butter for several years, and ImpactAgri has developed large-scale socially impactful agribusinesses across Africa since 2015.

	Furthermore, even though Serious Shea is not yet operational, the preparation work for Serious Shea began in 2016, so there has been significant investment (with time and cost exceeding US\$1 million) to prepare the business for implementation (and funding application) since 2019. The consortium is supported by the Women Shea unions, the Government of Burkina Faso, the World Bank Group and the African Development Bank.
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A13	Description of Overall Serious Shea Activity (All Phases)
	Serious Shea will implement and operate shea fruit collection sites and eco-processing centres in Burkina Faso. 6,000s of Burkinabe women will receive training, clean butter-processing facilities and access-to-market (and receive a significant profit share) - shea kernels will be processed into sustainable export-quality butter (and 2.5x their current incomes).
A14	Description of Company History and Problem Addressed through Serious Shea Business Model
	The concept was developed by William Kwende (a leading agri-entrepreneur) and Felicite Yameogo (President of the Women Shea Producers in West Africa) in partnership with the Burkina government and the forestry investment program of the African development Bank in 2011 to support rural women groups. The team partnered with ImpactAgri, an international impact-based agribusiness developer, to begin developing the business. The preparation work started in 2016 and, in 2018, Serious Shea was incorporated. The business' goal is to develop a clean mechanized processing solution, allowing women's groups to benefit from more consistent and higher quality shea butter production and achieve access to higher value markets. Serious Shea secured funding for preparatory work from the AFT Fund (AfDB) and TerrAfrica grant (World Bank). The business requires further funding to implement the centres to unlock significant international private investment for country-wide expansion.
A15	Description of Serious Shea Revenue Streams (All Phases)
	The company will initially sell unrefined shea butter directly to international cosmetics companies and intermediary oils and fats processing companies (supplying food and cosmetics brands). In the longer term, Serious Shea will sell refined shea butter and shea stearin directly to food brands. The women's groups will be able to use the equipment at the collection sites to mechanically de-pulp and dry the shea kernels. The women's groups will receive premium prices for the kernels, before they are processed into shea butter and exported to international buyers (with a significant profit share provided to the participating women's groups).

A16	Description of Existing Customers
	Suppliers / Partners: Serious Shea has already engaged over 600 women's groups (approx. 6,000 women) who will work as partners in its activities. They support the business in revolutionizing the butter-making process and their access-to-market. Customers: Serious Shea has invested significant time engaging customers for the purchase of unrefined shea butter and has successfully engaged over 20 international cosmetic and food companies. In terms of buyers, Serious Shea has successfully engaged international buyers, including Berg & Schmidt, L'Occitane, Lamotte Oils, Bunge Loders Crocklaan, and many others.

A17	Overview of Barriers to Investment in Serious Shea
	Serious Shea has conducted extensive investor engagement including Impact Investors (e.g. I&P, Althelia), family offices, DFIs, etc. Barriers-to-investment include: - Pioneers clusters: While the scalability is attractive, investors need to see the performance of the first clusters (hence, the funds could unlock significant expansion funding from private investors) - Burkina Faso country risks: Insufficient presence in Burkina Faso and preference to other West African countries

SECTION B: BUSINESS DESCRIPTION (PHASE 1)

B1

Description of Phase 1

After 3 years of preparation work, Serious Shea aims to implement 3 clusters in 2022. The collection sites enable women's groups to sustainably collect and dry shea kernels; the processing centers will produce and export shea butter. The participating women's groups will obtain higher incomes and benefit from a community fund profit-share.

More specifically, the project first phase will include the following:

- 12 x Eco-collection centers will be implemented by Serious Shea and operated by the women's groups themselves, each producing 720t/yr of dried shea kernels (the women's group will sell 50% of the dried kernels to Serious Shea for processing into shea butter). Serious Shea will also dry other crops for local consumption outside the season for shea processing (e.g. mango)
- 3 x eco-processing centers will process over 8650 tons of kernels from the collection sites into 3206 tons /yr of shea butter for export.
- The collection sites and eco-processing centre will utilize innovative clean processing technologies (efficient cookstoves, biodigesters) and renewable energy sources (solar PV, solar cookers, biogas)
- Partner women's groups will receive 2.5x their typical incomes, as they will be involved in added-value processing and no longer be forced to sell to local market traders. Plus, a significant profit-share will be provided to a community fund.
- Furthermore, women's groups will receive training on sustainable harvesting, processing, and financial management

B2

Description of Business Case (Phase 1)

Calendar Year	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
Gross Operating Profit (EBITDA)	0	3,95333%	3,95333%	3,95333%	3,95333%	3,95333%	3,95333%	3,95333%	3,95333%	3,95333%
Depreciation Expense	0	8197%	8197%	8197%	8197%	8197%	8197%	8197%	8197%	8197%
EBIT	0	3,13426%	3,13426%	3,13426%	3,13426%	3,13426%	3,13426%	3,13426%	3,13426%	3,13426%
Interest & Fee Income/(Expense)	0	(380)3%	(338)3%	(295)2%	(253)2%	(211)2%	(169)1%	(127)1%	(84)1%	(42)0%
Income Taxes	0	00%	00%	00%	00%	00%	00%	00%	00%	00%
Net Income	0	2,75423%	2,79623%	2,83924%	2,88124%	2,92324%	2,96525%	3,00725%	3,05025%	3,09226%

The Serious Shea business model is scalable and replicable across sub-Saharan Africa, with further sites identified in Burkina Faso, and additional opportunities already identified in Ghana, Ivory Coast and Guinea. The government of these countries have expressed strong interest and will participate in the evaluation of the project to provide strategic input for scalability beyond Burkina Faso and the shea value chain.

B3	Description of Business Target Market
	The participating women in the Serious Shea project (6,000s of women from very low-income households) are currently using labor-intensive processing methods, working >18 hours/day, and receiving minimum prices. The kernels are typically exported, processed and sold for significantly higher prices. Serious Shea will return the value to the women's groups, transforming Burkina Faso's shea butter industry. The shea butter market includes cosmetics manufacturers (skin/hair products) and food companies (cocoa butter substitute, specialty fats/bakery products) with demand outstripping supply over recent years. Serious Shea has received interest from international buyers (e.g. Berg and Schmidt, L'Occitane, Lamotte Oils, Bunge Lodors Crocklaan).
B4	Overview of Assessment of Ability and Willingness to Pay for Serious Shea's Product / Service
	Serious Shea will sell products to buyers/end-processors (e.g. L'Occitane,) and intermediary purchasers (e.g. Lamotte Oils, Bunge Lodors Crocklaan, Berg and Schmidt). Companies have informally indicated an interest in sourcing from Serious Shea with letters of interest. Serious Shea has drawn on existing data from women's groups and shea butter exports from our buyer surveys to determine prices and associated volumes for different stages of the process (including fruit, dried kernels and butter). This analysis includes products a) purchased directly from women's groups, b) purchased in the local market, and c) purchased by international offtakers. Based on the above, Serious Shea's financial model demonstrates the business can be commercially viable whilst still paying women's groups 1.5x their typical incomes, and providing a significant profit-share for a community fund.

B5	Serious Shea Marketing Strategy
	Our marketing strategy is driven by the needs of the different users we service: - Cosmetics sector: We use direct marketing approaches, digital media, our website, participating in key associations (e.g. Global Shea Alliance). We will drive this further with influencer endorsement, participating at trade fairs and cosmetic conferences and collaborating with social, sustainable and ethical brands in Europe, USA, Middle East & Asia. - Food sector: This will be achieved through Key Account Management with the major international oils and fats companies. We will also engage with end users which include major food brands with commitments for sustainable procurement. - Agricultural, Environmental and Social Impact: Serious Shea hosts talks and seminars at conferences and trade shows to share how we are creating “trade not aid”, by improving the shea butter production process as well as the lives of the women shea-entrepreneurs whilst also protecting the shea parklands.
B6	Overview of Distribution Channels to Access Customers
	1. Cosmetics sector: We directly market to brands and retailers through our existing networks in Europe, USA and in the Middle East and Asia. We distribute to suppliers/importers of raw ingredients. We also distribute through third-party processors where further processes are required (e.g. fractionation, refining, etc.). Our communication strategies for the cosmetics sector includes: - <i>Enhance and solidify our positive impacts on the environment, reforestation and women empowerment. We will also communicate the qualities of natural ingredients.</i> - <i>Focus on the growing demand for halal cosmetic products specifically for conscious Asian consumers.</i> - <i>Emphasise the traditional craftsmanship behind the making of the shea butter, which is enhanced by combining production with a semi-mechanised element.</i> 2. Food sector: Develop relationships with oil and fat processors supplying end-users with Shea Stearin and other products. We have direct relationships with confectionary and food brands to communicate the gender benefits behind the product.

B7	Overview of Competitive Landscape
	Cosmetics sector: Shea is a low-priced, highly effective oil fat with good availability and attractive marketing story compared to alternatives with equivalent properties (e.g. cocoa butter, illipe, murumuru, cupuacu butter). The main cosmetic competitors are the established women associations working with large cosmetic retailers, such as L'Occitane, Body Shop and some local operators (e.g. Olvea, Savanna Fruits). Our competitive advantage is the security of supply (by active operational participation of women's groups), true transparency from the fruit to the end-product, and modernised methods to ensure quality. Food and confectionary sector: Competition is based on cost of production, logistics and ability to secure a stable source of supply (incl. companies such as AAK, which sources kernels only). By including women's groups as partners and processing shea butter in Burkina Faso, we are able to secure higher-quality, improved traceability, bringing value back into Burkina Faso, and meeting requirements of niche food markets.
B8	Overview of Key Partnerships for the Business
	Serious Shea has active partnerships with the Burkina Faso government (Ministry of Environment), Technoserve (social assessment, business processes), Sensonomic (forest management), TARA (technical design). It has secured grants from: - AfDB: US\$485,000 for social, technological and forestry assessments, and business preparation activities. - World Bank: US\$70,000 for REDD+ assessments
B9	Overview of Innovation behind Serious Shea's Business Model
	Serious Shea places women's groups at the heart of the business, working to build their capacity as partners rather than suppliers (our competitors use women's groups as suppliers only). The innovative processing facilities will utilize clean technology and renewable energy, operated by the women's groups themselves for efficient shea processing.

SECTION C: PRODUCT AND APPROACH

C1

Detailed Description of Serious Shea Product / Service

Our product is unrefined shea butter, produced by processing fruit into kernels and then into unrefined shea butter. Our target markets include:

- a. Cosmetic companies (standard): 15% volume
- b. Cosmetic companies (organic): 5% volume
- c. Food or confectionary: 80% volume

(Serious Shea will also dry other crops for local consumption outside the season for shea processing (e.g. mango))

Our product meets buyer needs in terms of price and quality, transparency requirements and provides a strong gender-based 'impact' narrative. Serious Shea has already received letters of interest from international buyers to purchase the butter produced.

We address an important market trend: Many large ingredients suppliers currently buy shea with no traceability. However, consumers demand increasing transparency and are responding with social media to target brands that have not sourced their ingredients correctly.

C2

Overview of Price Structure for Serious Shea's Product / Service

Women's groups currently receive the following prices:

- 200-300CFA/kg (US\$0.30-0.46/kg) for dried shea kernels
- 500-1000CFA/kg (US\$0.76-1.52/kg) for shea butter

In comparison, Serious Shea will purchase kernels at a premium of US\$0.50-\$0.70/kg. It will sell shea butter at US\$3.50/kg (Cosmetic/Organic), US\$2.50/kg (Cosmetic/Non-Organic), and US\$2.00/kg (Food/Confectionary), allocating 10% profit-share to a community fund.

C3

Overview of Approach to Validate the Demand for Serious Shea's Product / Service

We have engaged with >30 major buyers in cosmetics and food sectors assessing purchasing patterns, pricing/specification requirements. We also participated and presented in industry-wide events (e.g. Global Shea Alliance, In-Cosmetics Global Trade Show). Serious Shea has received letters of interest from eager buyers and has developed a comprehensive customer database.

C4	Overview of Product Certification Strategy
	Product certification may include Natural Cosmetics (NaTrue, Cosmos and BDIH) and Organic Products (Soil Association, Ecocert and BDIH). We will also consider certification for Fair Production (e.g. FairWild: Wild-Collected Ingredients). We will align with the ISO16128 standard as a minimum standard. As demand grows rapidly, Halal-Certification will also be reviewed.
C5	Overview of End-User Financing Mechanism or Payment strategy to Allow Target Communities with Low / Irregular Incomes to Access Serious Shea's Product or Service.
	The Serious Shea business model focuses on getting products already collected by women with low or irregular incomes to market and increasing their income. The women's group partners are not required to make any payment to Serious Shea which manages working capital internally. More specifically, the women's groups are core to the Serious Shea business model, driving the collection and processing of the shea by using the facilities, logistical support and export channels managed by Serious Shea. They will therefore receive higher incomes and a profit-share as part of their integral partnership with Serious Shea.
C6	Approach for Ensuring Smallholder Farmers can Access Extension Services
	Serious Shea's facilitators have extensive knowledge and experience with women's groups. In many cases, these facilitators will be existing members of the groups. Each facilitator will be overseen by Felicite Yameogo, managing contracts with each group, supporting with finance, supporting equipment use/training, and transferring fruits to collection centres. Serious Shea will employ a manager for each collection centre full-time. They will be responsible for record-keeping of supplies, supervising the use of the equipment, payment and transport logistics and checking quality. This will include: - Weighing batches, sampling, - Quality monitoring for nuts and butter including moisture, free fatty acid levels of kernels (other variables will also be tested at the processing centre) - Traceability for organic production through coding of all consignments - Payment management for women's groups The processing centre manager will receive the kernels from the collection sites, and support with packaging, handle clients, etc.

C7	Overview of Improvements in Performance or Productivity to be Secured by Smallholders through Serious Shea's Activities
	The existing processes require 15kg of wood, significant quantities of water and several person-days to produce 1kg of butter (the wood typically has to be carried vast distances by each woman). The butter extraction rate is only 1kg of butter from 7.5kg of fruit. Serious Shea will improve this by removing use of wood entirely (using clean technology and renewable energy sources), using recycled water, and significantly reducing the physical labour requirements on the women through the use of innovative mechanical methods and clean technology.

SECTION D: IMPACT OF THE PROJECT	
D1	Description of how Serious Shea Produces a Sustainable Social Impact
	The first phase alone will enable 6,000s of women (at 12 x collection sites) to increase their income from shea by 2.5x, improving livelihoods and reducing negative health impacts of traditional butter-making methods (families of these women will also benefit from the improved income, positively affecting 6,000s of low-income people in Burkina Faso) .
	Development Impact – Households
D2	Number of Households Affected by Serious Shea
	For the first phase alone, more than 2,000s of households will benefit from the project through both increased income and use of 50% of the kernels produced. A further significant portion of households will benefit from indirect and induced benefits of sale/use of shea butter used for local purposes. By 2030, Serious Shea could expand the shea butter processing centre capacity to over 10,000mt. This is expected to enable over 20,000 households to benefit from improved household income and ability to produce shea kernels with less time and resources required. Indirectly, households in the communities where Serious Shea operates will benefit over time from the reduction in firewood use. In the first project alone, Serious Shea will avoid the costs and consumption of 30,000t of firewood alone. This will support the productivity of agricultural systems and increase availability of wood for other purposes.
D3	Description of how Household's Benefit from Serious Shea
	All of the households of women participating in Serious Shea will benefit from increased incomes for shea products (e.g. US\$0.30-0.46/kg to US\$0.70/kg shea kernels). For example, with each woman collecting average 20kg/fruit/day (1,800kg/season), resulting in 500kg/season dried shea kernels, of which 50% is purchased at premium rates by Serious Shea, each household will receive an additional min. US\$200/season. Furthermore, the women can also convert the 250kg of retained shea kernels into shea butter and sell to Serious Shea for US\$2/kg (current price average US\$1/kg), receiving an additional min. US\$250/season. Therefore, each participating household could benefit from min. US\$450/season. In addition, in return for selling a portion of their products to Serious Shea, each women producer will be able to use the facilities and operational/training support for free. This will negate the cost of cooking equipment, firewood, water, etc. and the time cost to sell butter to travelling market traders, etc. Finally, households will also benefit from expenditure from the community fund funded from Serious Shea's 10% profit-share. This is forecast to be approximately US\$300,000 per annum for schools, health clinics, infrastructure, etc.

	<i>Development Impact – Employment</i>
D4	Description of New Jobs that will be Created or Maintained Directly by Serious Shea
	Serious Shea will create 84 new full-time jobs at the 12 x collection centers and 111 new jobs at processing centers. All of the jobs created will be over 80% filled by women with the women's groups (supported by Felicite Yameogo) leading the recruitment process. Serious Shea expects that over 65% of positions will be filled by young women (<35 years old). Each of the collection centres will require 1 x manager, 2 x full-time supervisor / facilitators, 2 x full-time security and technical staff, 2 x part-time transport drivers. The processing centre will employ 37 staff including 1 x manager, 2 junior managers, 22 x processing staff, and 12 x transport drivers. All positions will be full-time staff, as butter-processing will continue throughout the year. Importantly, the above only covers Serious Shea's direct employees. 6,000s of women will become partners / associates of Serious Shea, and be as core to the business as employees.
	<i>Development Impact - SMEs</i>
D5	Impact of Serious Shea on the Growth of Other Companies
	The women's groups using Serious Shea collection and processing facilities are established as subsidiary companies within the value chain. As such, over 300 women-focused organizations (6,000s of women) will benefit from the Serious Shea project. These organisations, in addition to supporting the collection, processing and marketing of shea products, also support other activities including: - Agri-food processing of other products - Agricultural production (breeding, gathering and agriculture) - Awareness / literacy - Crafts, income-generating activities including textile weaving, pottery, etc. - The management of natural resources including tree planting, nurseries, forest park maintenance including the shea tree, the management of groves, etc. - Health promotion (e.g. reproductive health, HIV-AIDS)

	Measurement of Impact
D6	Approach to Measure the Impact of Serious Shea's Activities on Smallholders
	Our baseline has been developed through an extensive survey of 300 women's groups, mapping current shea butter processing in Burkina Faso and the profiles of women's group (member demographics, household economics, prices, livelihoods, environmental impact). Serious Shea will confirm inputs, output and outcome metrics to assess the impact of activities against this baseline. It will also map the relationship between our impact outcomes and financial performance. This is based on ongoing work by Technoserve to conduct a characterization of the main demographic, agricultural, settlement, tenure, socio-economic patterns and drivers of land use and development in the village/collecting zone. This will also consider other expectations/challenges of households such as cashflow, education, healthcare. This is using participatory and semi-structured methods The preparation work included semi-structured/participatory methods with women's groups adjacent to each shortlisted collection site to assess: - Maximum, minimum and preferred volumes to process - Impact of processing on domestic consumption of shea - Expected prices (and historical prices received) - Existing/preferred collection/processing arrangements (including current volume of firewood used). - Preferred payment mechanisms - Existing and preferred organization of women's groups
D7	Overview of Responsibilities for Collecting Data on how Serious Shea Benefits Smallholders
	Serious Shea will capture information on all women's groups working with the business through its core decision-support tool, which has been developed by TechnoServe, a leading rural-focused technological solutions provider. The tool will integrate impact measurement and management with core financial and operational business processes.
	Gender and Youth considerations
D8	Description of Specific Impacts of Serious Shea on Women
	Women are at the heart of Serious Shea and will receive the bulk of the benefits of the business. Women using the collecting centres will receive 2.5x their typical incomes for the kernels (without having to pay or collect resources for processing). They will also receive health benefits from not collecting firewood, water or being exposed to smoke. Furthermore, the women's groups will benefit from the community fund which will receive a 10% profit-share from the business

D9	Description of Specific Impact of the Project on Young People (18-35 years old)
	The average age of women collectors and processors is high and a threat to the important sector in Burkina Faso. Serious Shea will maximize the inclusion of young people as follows: - Invest in training for literacy and numeracy, safety, enterprise management, marketing etc., targeting young participants (e.g. internships, exchanges in other enterprises). - Prioritize young women for roles in production, administration and commercialization, including promoting online products, maintain online boutique. - Enable the transfer of knowledge from the older women related to their activities to young people women, addressing a widespread phenomenon of young girls moving to the city

SECTION E: RESOURCES	
E1	Team Skills and Experience
	<i>Director, COO: William Kwende</i> (Burkinabe). Highly experienced agribusiness developer, specializing in large-scale renewable energy and agricultural projects in rural west Africa. <i>Director: Felicite Yameogo</i> (Burkinabe). Women's group representative at the European Commission; recognized across west Africa as a leader in shea processing (trained >10,000 women processors). <i>Director, CEO: Jon White</i> (French). CEO of ImpactAgri. >25 years' experience developing agribusinesses in Africa. <i>CFO: Alastair Woods</i> (South African). Experienced agricultural developer in various west African countries. <i>Marketing Manager: Sam Mureau</i> (British). Experienced marketer/account manager
E2	Existing Gaps in the Composition of Serious Shea team and Proposed Approach to Fill Gaps
	The women's groups will take part in the processing themselves with Serious Shea's guidance and supervision, so the team will include women's group facilitators, site managers and administrative & security staff. Partner organization, New Karikis, is already working with many potential candidates, particularly for the roles of Production Manager and Administrative Manager.

Contribution to Serious Shea since inception			
Investors (indicate name of organization)	Amount (US\$)	Nature of investment (grant, equity, loan)	Purpose of funding
AFT Fund (AFDB)	485,000	Grant	Support to complete preparatory planning and assessment, including business planning, financial modelling, social assessments, forestry mapping, site feasibility assessments, and the technology designs.
Felicite Yameogo Women Group Shea Union	34 800		Facilities, expertise , field trips , preparation work , mobilization
Nelly Kwende William Kwende Golden Organics	12,500	Grant	Provision of working capital for business
	93,800	In-kind Contribution	Unpaid work required to develop business, Office equipment, vehicle , rents , staff salaries
Jon White ImpactAgri	16,500	Grant	Provision of working capital for business
	82,320	In-kind Contribution	Unpaid work required to develop business
TerrAfrica (World Bank)	70,000	Grant	Baseline elaboration for improved and decarbonized shea butter process – REDD+ Readiness in Burkina Faso
TOTAL		794 120	